there were allegations that the government was tapping the governor's telephone and mail. And when no evidence came out of these 'interventions', Grigg forced the issue by asking the government to choose between him and Smith, and decide who stayed on and who moved out. The government sided with Grigg, forcing Smith to resign, which he did on 1 November 1936. After proceeding on eight months' leave, he laid down office on 30 June 1937.

Sir Benegal Rama Rau, the fourth and also the longest-serving governor to date, served as India's ambassador to Japan and the United States before being appointed to the Reserve Bank. His relationship with Finance Minister T.T. Krishnamachari, popularly known as TTK, was frosty right from the time he succeeded C.D. Deshmukh in July 1956.

The first serious tussle between the two erupted when TTK introduced a supplementary taxation proposal for hiking the stamp duty rate on bills, a 'fiscal measure with monetary intent', as TTK himself described it, but which ran counter to the Reserve Bank's Bill Market Scheme. Taking umbrage at this encroachment into monetary turf, Rama Rau took the issue to the board of the bank which passed a resolution of protest. When requested by Rama Rau to rethink his stance on the proposal, TTK responded with 'professional discourtesy'. As B.K. Nehru recollects in his autobiography, *Nice Guys Finish Second*, the finance minister 'let fly in no uncertain terms and in the loudest of voices' at Rama Rau.

Matters escalated further when Rama Rau's memorandum expressing deep concerns about the independence of the central bank and RBI's ability to exercise statutory responsibility for 'monetary policies and other matters' made its way to Prime Minister Nehru. Nehru reportedly took serious exception to this 'improper and agitational' memorandum, which he saw as 'practically an indictment of Government's policy'.[2] Rama Rau stood his ground, and deeming it not possible to continue under the circumstances, resigned on 14 January 1957.

The tussle between the government and the Reserve Bank has long historical traditions, after all!